Investors' activism and corporate governance

Corporate Governance · Session 19 · Source: Lecture 3 deck ("Investors' Activism and Corporate Governance")

By the end of this session you should be able to explain who institutional investors are, why their ownership weight changed the balance of power in listed companies, how shareholder activism works in practice, and what limits and controversies surround it.

> **Plan**
> 1. Institutional investors: who they are
> 2. Why their weight in ownership has grown
> 3. The power problem: passive ownership and management leeway
> 4. Shareholder activism: actors, goals, tactics
> 5. Hedge fund activists and corporate raiders
> 6. Other activists: proposals, coalitions, compensation votes
> 7. Stewardship tools: proxy voting guidelines and over-boarding
> 8. Activism with a political edge: the Norwegian wealth fund cases

1. Institutional investors: who they are

> **Institutional investor (two definitions used in the course):**
> 1) an organization whose primary purpose is to invest its own assets, or those held in trust by it for others.
> 2) entities which pool money to purchase securities, real property and other investment assets, or originate loans.

The deck sorts the new main actors into two families:

- **Market driven investors:** mutual funds, hedge funds, exchange traded funds (ETF), sovereign investment funds.
- **Multilateral investors:** pension funds, bank trust departments, endowments and foundations, insurance companies.

Pension funds, insurance companies and managers of mutual funds and ETFs all count as institutional investors. They matter for governance for a simple reason: they own a larger share of publicly traded companies than retail investors, and they vote their shares at a much higher rate. That makes them influential stakeholders for many public companies.

2. Why their weight in ownership has grown

Main reasons given in the lecture:

- **Need of specialization:** managing savings professionally beats do-it-yourself for most households.
- **Population ageing and cumulative pension schemes:** ageing economies push more savings into pension vehicles.
- **Quest of additional sources of return.**
- **Instrument of economic policy:** sovereign wealth funds (SWF) invest state surpluses abroad.

The numbers behind the shift:

- Institutional ownership of publicly traded firms rose from **32% in 1980 to around 80% in 2017**; the largest 100 institutions hold more than half of all equity.
- In OECD countries, assets under institutional management have **more than doubled since the mid-2000s**.
- Investment style has shifted towards **passive portfolio management**: savings are allocated quasi-automatically (index tracking) rather than through active stock picking.
- **Common ownership** has increased: the same large institutions hold stakes in competing companies and across sectors.

The retail counter-current (mainly US):

- Around 59 million Americans had accounts with one of the seven largest brokers in 2019; this surged to **95 million**, with 17 million new accounts in 2020 and 20 million in 2021.
- Retail trading went from about a quarter of volumes to a third in early 2020, peaking above 40% in Q1 2021 (excluding market makers). Retail investors' share of US equity order flows rose from 15% (2019) to nearly 20% (2020).

3. The power problem: passive ownership and management leeway

The governance tension, stated in the deck through Bilge Yilmaz (Wharton):

- Legally, the board of directors and management are responsible for managing the company; shareholders traditionally have limited ability to influence them.
- With natural conflicts of interest and the rise of passive shareholding over decades, the potential for management to deviate significantly from shareholders' interests has grown.

This is the classic agency problem reloaded: ownership is increasingly concentrated in institutions, but many of them are passive, so monitoring does not automatically follow ownership.

4. Shareholder activism: actors, goals, tactics

> **Shareholder activism:** seeking change in a company because the investor thinks management is not maximizing the target's potential. Actors range from giant asset managers voting against boards on governance or environmental and social grounds, to small hedge funds threatening a proxy fight over excess cash on the balance sheet. Same ultimate goal, very different tactics.

The pandemic-era turn (CNBC, June 2020):

- More activists aimed to **remove top executives**, not just push cost-cutting or return on capital.
- In Q2 2020, **half of all activist campaigns** involved board or management issues, versus 33% earlier that year and in all of 2019.
- Stated reason: a greater focus on leadership and whether top executives were steering firms well through the crisis.

Objectives of campaigns:

- **Mergers and acquisitions changes** have historically been top objectives: pushing a company to sell all or part of itself, or to seek better terms in an ongoing deal.
- As dealmaking slowed, campaigns shifted towards **calls to break up the company**.

5. Hedge fund activists and corporate raiders

Hedge funds attract capital by promising above-average returns, so they hunt untapped value:

- They see untapped value in **how a company is run or the strategy it pursues**: ineffective management, a stale board, missed opportunities.
- They push a **new capital allocation strategy** or operational changes to raise share value.
- When engagement with executives and directors fails, they often seek **board representation**.

Evolution of hedge fund activism:

1. Traditional focus: capital allocation issues such as dividends and share buybacks.
2. Then company combinations and break-ups: mergers, carve outs, spin-offs.
3. Now: **operational activism**, with a longer-term focus: activists join the board (or appoint independent directors), replace managers and help execute a new strategy.

> **Corporate raiders (the historical precursor, Warren Buffett era figures and investment banks):** they targeted corporations not realizing their potential, developed a business plan showing that new management could earn higher profits, then offered shareholders a price above the current stock price to replace the current management with a better team.

6. Other activists: proposals, coalitions, compensation votes

- **Religious groups, nonprofits and advocacy organizations** use shareholder activism tools, most notably **shareholder proposals**, to push companies to change.
- **Investor coalitions** formed around specific issues (climate action, corporate responsibility, or requests not to adopt diversity policies) are growing in size and influence.
- Shareholder proposals often target governance practices, executive compensation, or the company's behavior as a corporate citizen; proposals both supporting and opposing environmental and social policies have become more common.
- The deck also covers activism about **executive compensation** and how pay votes started to change about ten years after the first say-on-pay wave.

7. Stewardship tools: proxy voting guidelines and over-boarding

> **Proxy voting guidelines:** part of the investment stewardship activities institutional investors carry out for their clients. They guide how investors engage with portfolio companies, vote at shareholder meetings on management and shareholder proposals, and report back to clients. They reflect what each institutional investor believes to be the role and responsibilities of boards, and ultimately corporate governance best practices for listed US companies.

Two points the lecture stresses:

- Guidelines tend to be **similar across large institutions**, especially on board independence: all four large institutional investors discussed require at least a **majority of independent directors**.
- **Over-boarding** is a shared concern: a director serving on too many boards at once can see their effectiveness diluted, so time commitment rules appear in the guidelines.

On interlocking directorates:

- The narrative: directors who sit together on several boards develop social cohesion and shared perspectives on top of their economic power.
- The very severe rules: **Section 8 of the Clayton Act** prohibits simultaneous service as officer or director of two competing corporations above thresholds updated annually by the FTC. For 2024: each competitor has capital, surplus and undivided profits above **$48,559,000**, and both have competitive sales above **$4,855,900**. FTC and DOJ have ramped up enforcement.

8. Activism with a political edge: the Norwegian wealth fund cases

The lecture uses Norges Bank Investment Management (NBIM), the roughly $2 trillion Norwegian sovereign wealth fund, to show that investor influence is not only financial:

- The fund announced exclusions of companies over the affairs in the West Bank and Gaza, after saying it was selling its investments in 11 Israeli companies, and launched an urgent review of a stake in an Israeli jet engine group servicing the IDF (Times of Israel, 18.08.2025).

- **Caterpillar case:** NBIM excluded Caterpillar over the use of its bulldozers to destroy Palestinian property. The fund held about $2.1bn of shares (1.2% of all shares, eighth-largest shareholder as of 30 June). The fund's independent council on ethics stated there was "no doubt that Caterpillar's products are being used to commit extensive and systematic violations of international humanitarian law".
- **The limit:** Alphabet, Amazon, Meta and Microsoft also work with Israel according to UN officials, yet about a quarter of the Norwegian SWF's income comes from them. Norges Bank's recommendation is to consider the effect any ban on a company would have (FT, 28.10.2026). Ethics meet portfolio reality.

Watch out: several slides in this lecture are image-based charts (US equity market detail 2017, foreign holdings of US stocks, ownership concentration by market, pension fund assets, CalPERS allocation, campaign results, compensation votes). Their exact figures could not be extracted from the PDF; only the trends stated in the text are reported here.

Must know:
• Institutional investors pool and invest money for others: mutual funds, hedge funds, ETF and SWF on the market side; pension funds, bank trusts, endowments, insurers on the multilateral side.
• Institutional ownership rose from 32% (1980) to about 80% (2017); passive management and common ownership grew with it, which widens the gap between ownership and monitoring.
• Shareholder activism = seeking change because management is seen as not maximizing potential; campaigns increasingly target boards and top executives themselves.
• Hedge fund activism moved from capital allocation (dividends, buybacks) to break-ups and then to long-term operational activism with board seats.
• Proxy voting guidelines converge across big institutions: majority of independent directors, limits on over-boarding; interlocking directorates between competitors are policed under Clayton Act Section 8.
• Large investors also act on ethics and politics (NBIM exclusions), but consistently only up to what the portfolio can bear.

Watch Out

Watch out: image-based charts (see section 8 box above) could not be fully extracted; do not invent their figures. The "corporate raiders" slide spells "Warren Buffet" with one t; the content describes the raider mechanism, not Buffett's own strategy.

Source: Lecture 3 deck "Investors' Activism and Corporate Governance" (46 slides), Blackboard CG course, posted 5 November 2026.